

One Cent Above the Floor

Credit is sitting on its line while equities sit mid-range. This note is about which of the two to read first today.

THE READING

Tuesday's tape looked quiet. The S&P 500 slipped 0.17% to 7,670.84, 48.7% of the way through its 7,552-7,796 range, and the VIX closed at 16.03.

Underneath, the strain sat in credit. HYG, the high-yield bond fund, printed a 52-week low of 77.16 and closed at 77.36, one cent above a floor of 77.35 that had itself been lowered that morning. LQD and TLT also set 52-week lows. The 30-year Treasury touched 5.619% and closed at 5.566%. The MOVE index of bond volatility rose 4.7% to 106.6 while equity volatility was flat. The mood is endurance: stocks holding still while lenders do the worrying. August PCE lands at 20:30 GMT+8 tonight, Micron at 04:30 Thursday.

WHAT WISDOM WOULD SAY

Aristotle, in Book VI of the *Nicomachean Ethics*, separates practical wisdom, *phronesis*, from knowledge of general truths. Practical wisdom concerns particulars, and particulars become familiar only through experience. That, he says, is why the young can be good at mathematics yet are rarely practically wise.

The general truths this morning are sound. The index sits mid-band. The VIX is calm. Hedgeye's S&P trend is still bullish. Reasoning from those alone, nothing needs doing.

Judgement in particulars starts from the part of the system under most stress, not from the average. Here that is a credit fund one cent from its floor after trading below it, with high-yield spreads near the roughly 300bp level Hedgeye treats as a breakout. An equity index averages hopes. The high-yield market is where lenders name a price for not being repaid. When the two disagree, the lender has put a number on being wrong.

Aristotle also places virtue at a mean relative to the situation, not a fixed midpoint. The brave act in a calm week and the brave act this week are not the same act.

THE RISK IT JUSTIFIES

Acting on this means letting the credit line, not the equity band, set size today. It argues against adding index exposure at 7,670 because the level is mid-range; the range is not where the risk is. It argues against buying high-yield carry because 77 looks cheap on the year; a floor lowered yesterday is not support. It does not argue for cutting equity risk that is already held, since the S&P has broken nothing.

What it asks for is a written decision before the PCE print: what a HYG close below 77.35 would mean for gross exposure, and which position goes first.

Two things would change the answer. HYG back above 77.63, Monday's floor, with the 10-year under 5.20%, would say lenders have relaxed. Core PCE above the 0.3% expected, with HYG through 77.35, would argue for reducing.

*If the lender and the shareholder disagree this morning,
whose information are you paying for?*